

low at D and received a fill at 17.62.

Why short then? His answer: “You don't short a stock making new highs. You short ones making new lows.”

“But what about the bullish crab?” I asked.

“It died when the pattern broke out downward.”

After the order filled, he placed an order to cover his short should the stock rise to 18.56, which was just above the high directly above F.

The stock cooperated and didn't just drop, it plunged. At G the stock reached bottom, but Sam didn't know it at the time (meaning price might have continued down). High volume a few days earlier suggested a bottom, but that's an unreliable indicator. The stock at G made a tall candle (with a close near the day's high), which also suggested the stock had put in a bottom.

The stock was making lower lows nearly every day on the way to G, and then it stopped. Price recovered. Why didn't he cover the short then (near G)?

“Greed,” he said. “Pure and simple. It looked like the stock had put in a bottom, but I've been fooled before. So I held on.” He shrugged.

Price rebounded and made a V-shaped turn. When the stock closed above overhead trendline resistance (the day before H), he covered his short the next day, H, and received a fill of 16.68 for a profit of almost a dollar a share. Had he sold at the low at G, he would have made almost \$4 a share. But that would have been a perfect trade, and those are as rare as fish eating crabs.